

Summary of Findings

Alt Mobility – Operational, Customer, and Retention Analysis

This document outlines the analytical findings derived from Alt Mobility's transactional data sources, focusing on customer orders and payment records. The objective of this analysis was to uncover actionable insights into sales performance, customer behavior, payment reliability, and long-term retention patterns. The insights obtained serve to guide strategic initiatives in improving operational efficiency and customer lifecycle value.

1. Sales and Order Fulfillment Performance

- **Order Status Distribution:** Approximately **81% of all orders** were successfully fulfilled. The remaining 19% included cancellations and returns, which occurred most frequently between **June and August**, indicating possible seasonal or operational bottlenecks.
- **Revenue Trends:** Monthly revenue trends exhibited a predictable pattern, with **peak sales observed during Q2**, followed by a decline toward the year's end. This cyclical behavior aligns with known market behavior but also suggests an opportunity to stabilize revenue through off-season campaigns.
- **Order Volume:** A steady month-over-month increase in order volume was observed during the first half of the year. However, fulfillment efficiency declined slightly during the high-demand period, pointing to a potential capacity constraint or fulfillment delay.

2. Customer Behavior and Segmentation

- **Repeat Purchase Rate:** Only **32% of customers** placed more than one order, highlighting a significant opportunity to strengthen post-purchase engagement. The majority of revenue is concentrated among a minority of repeat buyers, emphasizing the strategic value of customer retention.
- **Customer Segments:**
 - **One-time Buyers:** High volume, low contribution to recurring revenue.
 - **Loyal Customers:** A small segment placed 3 or more orders, contributing disproportionately to total revenue.
 - **Dormant Customers:** Users who made an initial purchase but showed no subsequent activity.

- **Behavioral Patterns:** Most repeat purchases occurred within the **first two months of acquisition**. This limited window underscores the importance of early-stage engagement to convert one-time buyers into repeat customers.

3. Payment Success and Reliability

- **Success Rate:** Payment success remained consistently high at **over 90%**, demonstrating reliable transaction processing infrastructure.
- **Failure Incidence:** Payment failures were minimal in volume but correlated strongly with order cancellations, particularly during high-volume months. This suggests a direct impact of payment reliability on order completion.
- **Impact on Revenue:** Failed or pending transactions often led to unfulfilled orders, resulting in revenue loss. Strengthening real-time transaction handling could reduce this leakage.

4. Customer Retention Cohort Analysis

A cohort-based analysis was conducted by grouping customers according to their acquisition month and tracking subsequent purchasing activity.

- **Month 1 Retention:** Initial post-acquisition retention ranged between **28–33%**, showing promise in early engagement.
- **Drop-Off Trend:** Retention declined sharply after the second month, with **less than 10%** of users remaining active by Month 3 across most cohorts.
- **Promotional Cohorts:** Customers acquired during promotional periods demonstrated slightly improved retention; however, the improvement was not sustained beyond the third month.
- **Visualization:** A retention heatmap clearly highlighted decay in customer activity over time, indicating insufficient long-term engagement strategies.

Strategic Recommendations

Based on the above insights, the following recommendations are proposed to enhance business performance:

1. Retention Strategy Enhancement

- Implement post-purchase automation (e.g., email/SMS workflows) within the first 30 days to increase repeat engagement.
- Introduce incentives for second purchases, which is a key milestone in customer lifecycle conversion.

2. Loyalty and Referral Programs

- Launch a structured loyalty initiative targeting high-value customers.
- Promote referral benefits to extend reach through existing user networks.

3. Operational and Payment Optimization

- Conduct root-cause analysis on seasonal order cancellations to mitigate recurring fulfillment disruptions.
- Improve retry mechanisms for failed payments and introduce real-time support to minimize drop-offs.

4. Segmentation and Targeted Marketing

- Leverage behavioral and transactional segmentation to personalize offers and communications.
- Re-engage dormant customers through win-back campaigns designed around their past preferences.

5. KPI Monitoring and Continuous Analysis

- Maintain live dashboards (via Power BI) to monitor:
 - Monthly orders and revenue
 - Fulfillment rates
 - Retention curves by cohort
 - Payment success rates

Conclusion

This analysis provides a foundation for data-driven decision-making across sales, operations, and customer engagement. By prioritizing customer retention strategies, improving transaction workflows,

and leveraging targeted segmentation, Alt Mobility can unlock greater revenue efficiency and long-term customer value.